Usury Laws by State in 2025

Explore our interactive guide to legal maximum interest rates, general usury limits, and exceptions for consumer loans, credit cards and P2P. Click on any state to view detailed information about its usury laws.

Legal Rate: 5% 6% 7% 8% 9% 10% 11% 12% Below 5%

Louisiana Usury Laws

CODE: LSRS 9:3501

General Usury Limit: 12% for individuals, no limit for corporations

Judgment Rate: Variable, between 7-9%

Details: Louisiana's legal rate is one percent above the prime rate, set in January 1st, 1987 as the prime rate stood at 8%. The maximum interest rate is twice the legal rate, 16% for corporations. Governor Kennedy's proposition ballot to enable usury caps was defeated by the people.

Source: Louisiana Revised Statutes § 9:3501 Legal rate; § 9:3501 Usury; uncompensated

Understanding Usury Laws and Interest Rate Limits

Usury laws are state regulations that establish the maximum interest rates lenders can legally charge on loans, credit cards, and other financial products. These laws protect consumers from predatory lending practices.

Each state sets its own usury limits, which can vary significantly. This creates a complex patchwork of regulations that affects everyone from payday lenders to credit unions, online lending platforms, and even providing some flexibility for banks.

Types of Interest Rate Limits

When examining usury laws, it's important to understand the different types of interest rate limits:

- **General Usury Limit:** The standard maximum interest rate that most lenders can charge on specific loan types. Example: Texas sets a general usury limit of 10% for most consumer loans.
- **Criminal Usury Limit:** This is the maximum interest rate a lender can charge on loans and other credit agreements under criminal prosecution.
- **Judgment Rate:** This is the interest rate applied to court judgments when collecting debts.

Federal Preemption and Exceptions

While state usury laws provide important consumer protections, there are significant exceptions and complications to keep in mind:

- **National Banks:** Thanks to the Marquette National Bank v. First of Omaha Service Corp. Supreme Court decision, national banks can export the interest rate limits of their home state to other states. This allows them to charge higher rates than the borrower's home state.
- **Credit Card Companies:** Most credit card issuers are exempt from state imposed usury limits and can charge rates allowed in their home state.
- **Federal Preemption:** The Monetary Control Act of 1980 allows certain lenders to charge interest rates up to 1% above the Federal Reserve discount rate, regardless of state laws.
- **Business Loans:** Many states have different usury limits for loans to businesses versus consumers, and business loans often subject to higher interest rate caps or even exemptions from usury limits altogether.

Variable Rate Formulas

Many states have moved away from fixed percentage limits and instead use variable formulas tied to economic indicators like the Federal Reserve discount rate or Treasury bill rates. This ensures that allowable interest rate caps to adjust with broader economic conditions.

For example, Florida's general usury limit is set at 5% above the Federal Reserve discount rate on the day the loan was made. This type of formula ensures that usury limits remain relevant in different interest rate environments.

Complete Usury Laws Data by State

The table below provides comprehensive information on usury laws for all 50 states and the District of Columbia. You can use the filtering to quickly find usury laws by state or search for specific details or values using the search bar.

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State	Legal Interest Rate	General Usury Limit	Judgment Rate	Additional Notes
Delaware	5%	No usury limit; Revolving loans: 15%	5% over Federal Reserve rate	Delaware's legal rate was set at interest rate on the Federal Reserve rate. This same rate is also applied to judgments, contracts, and judgments. Delaware Code, Title 6, § 2301 (Legal Rate)
Illinois	5%	9%	9%	In Illinois, the legal interest rate is 5%, while the general usury limit and judgment rate are 9%. Source: Illinois Compiled Statutes (ILCS) 815 ILCS 205/4 (General usury limit); 735 ILCS 5/2-1303 (Judgment rate)
Michigan	5%	7%	7% above the rate set by the state	Michigan's legal interest rate is 5% and the general usury limit is 7%. Judgments also accrue at 7% under the Michigan Compiled Laws. Source: Michigan Compiled Laws § 438.41 (General usury limit); § 600.6455(3) (Judgment rate)
Ohio	5%	25% criminal usury rate	Variable	Ohio has a legal interest rate of 5%, Ohio's General usury limit is a criminal usury rate of 25%. Source: Ohio Revised Code (ORC) Chapter 1343 (General usury); § 1343.03(A) (Criminal usury)
Wisconsin	5%	No limit for corporations	5% except for mortgage judgments	Wisconsin's legal rate is 5%. There are numerous codes for different usury limits, including a criminal usury limit for corporations. Mortgage judgments are set at 5% plus the contract rate. Source: Wisconsin Statutes § 138.04 (Legal rate); § 138.05 (General usury); § 138.09 (Criminal usury); § 815.05(8)(b) (Judgments)
Louisiana	12%	12% for individuals; No limit for corporations	Variable, between 7-9%	Louisiana's legal rate is one point over the savings prime rate, set in January 1st, 1987 as the prime 8%. Currently (2025), the legal rate is 9%. Individuals, LLCs, and partnerships are limited to 12%, but there is no limit for corporations. Source: Louisiana Revised Statutes § 9:3501 (Legal rate; General usury)
Alabama	6%	8%	8%	In Alabama, the legal interest rate is set at 6%, while the general usury limit is 8%. Court judgments accrue interest at 8% per year. Source: Alabama Code § 8-8-1 (General usury); § 8-8-8 (Judgments)
Arkansas	6%	5% for consumer loans; 17% for loans over $3,000; National usury exemption	6% or whichever is greater	The usury limit for most loans is 5%, but there are exceptions for loans over $3,000 and P2P loans. Judgments accrue at the legal rate or 6%, whichever is greater. Source: Arkansas Code § 4-57-101 (General usury limit); § 4-57-105 (Judgment rate)
District of Columbia	6%	24%	4%	The District of Columbia sets its legal interest rate at 6%, while the general usury limit is 24% for most consumer loans. Source: District of Columbia Code § 28-3301 (Legal rate); § 28-3302 (Usury provisions)
Maryland	6%	24%	10%	Maryland's legal interest rate is 6%, the general usury limit is 24%, and judgments accrue at 10%. Source: Maryland Commercial Law § 12-102 (General usury); § 12-104 (Judgments)
Maine	6%	Variable	5% for consumer loans; Variable for others	Maine's legal interest rate is 6%. Judgments between $20,000 max. 5% for consumer loans and variable for others. Source: Maine Revised Statutes, Title 4 § 3-402 (Legal rate); Title 14 § 1602-B (Judgment rate)
Massachusetts	6%	20%	5% or 18%	Massachusetts's legal interest rate is 6%, and the general usury limit is 20%. Judgments accrue at 5% or 18%, depending on whether the court finds "good cause." Source: Massachusetts General Laws, Chapter 107 § 3 (Legal rate); Chapter 231 § 6B (Usury); Chapter 231 § 6C (Judgments)
Minnesota	6%	6%	Secretary sets annual yield on 1-year U.S. T-Bills	Minnesota has a legal interest rate of 6% and a general usury limit of 6%. Judgments rate is tied to the secretary of state's annual yield on 1-year U.S. T-Bills. Source: Minnesota Statutes § 334.01 (Legal rate); § 334.01 (General usury); § 549.09 (Judgments)
Nebraska	6%	10%	1% above prevailing discount rate on 90-day commercial paper	Nebraska has a legal interest rate of 6% and a general usury limit of 10%. Accounts bear interest at 1% above the prevailing discount rate on 90-day commercial paper. Source: Nebraska Revised Statutes § 45-101 (Legal rate); § 45-101.03 (General usury); § 45-103 (Judgments)
New Jersey	6%	16% for consumer loans; No limit for corporations	9%	New Jersey's legal interest rate is 6%, and the general usury limit is 16% for consumer loans. Judgments accrue at 9%. Source: New Jersey Rev. Stat. § 2A:58-10 (Legal rate); § 31:1-1 (General usury); New Jersey Court Rule 4:42-11 (Judgments rate)
North Dakota	6%	5.5% above non-renewable treasury bill; Minimum 18%	Unknown rate whichever is less	North Dakota's legal rate is 6%. The general usury limit is 5.5% above the non-renewable treasury bill (minimum rate 18%). Judgments accrue at the lesser of the contract rate or 6%, whichever is less. These rates may be applied to overdue commercial transactions. Source: North Dakota Century Code § 47-14-05 (Legal rate); § 47-14-09 (General usury); § 32-19-39 (Judgments)
Oklahoma	6%	10% for consumer loans; No limit for other transactions	7.663 cents plus 6%	Oklahoma's legal rate is 6%, consumer loans may not exceed 10%, unless the lender is registered. Judgments accrue at the 7.663 cents plus 6%. Source: Oklahoma Statutes, Title 15 § 142 (Legal rate); § 142.1 (General usury); Title 12 § 727.1 (Judgments)
Pennsylvania	6%	6% for most consumer loans; 25% for credit card and open-ended credit; 9% for commercial usury cap	6%	Pennsylvania's legal rate is 6%, which also serves as the general usury limit for loans below $50,000. Credit card and open-ended credit are capped at 25%. Judgments is consolidated statutory rate. Source: Pennsylvania Statutes, Title 41 § 201 (Legal rate); § 201 (General usury); § 201 (Judgments)
Texas	6%	Varies by loan type; Varies by credit card	10% or contract rate whichever is less	Texas has a legal rate of 6%, and the general usury limit varies by loan type and whichever is less. There are numerous exceptions for different types of loans in Texas. Source: Texas Finance Code § 302.001 (Legal rate); § 303.009 (Usury); § 302.101 (Credit card); § 304.003 (Judgments)
West Virginia	6%	8% (commercial loans); 19% for credit card and other loans	10%	West Virginia's legal rate is 6%. The commercial usury limit is 8%, and the consumer limit is 19%. Judgments accrue at 10% or the contract rate, whichever is less. Source: West Virginia Code § 47-6-5 (Legal rate); § 47-6-5 (Commercial usury); § 47-6-5a (Consumer); § 56-6-31 (Judgments)
Georgia	7%	5% for loans under $3,000; 16% for loans per month over $3,000	7%	Georgia's legal rate of interest is 7%, the loans below $3,000, the usury limit is 5%, and for loans over $3,000, the usury limit is 16% per month. Judgments accrue at the same rate specified in simple interest and in contracts. Source: Georgia Code § 7-4-2 (Legal rate); § 7-4-18 (Usury); § 7-4-16 (Judgments)
Colorado	8%	45%	8%	Colorado has a very high general usury limit of 45, while its legal interest rate is 8%. Judgments accrue at the same rate. Source: Colorado Revised Statutes § 13-21-101 (Legal rate); § 5-2-201 (General usury); § 5-12-102 (Judgments)
Connecticut	8%	12%	6%	Connecticut sets the legal interest rate at 8%, and the general usury limit at 12%. Judgments accrue at 6% per year. Source: Connecticut Revised Statutes § 37-1 (Legal rate); § 37-4 (General usury); § 37-3a (Judgments rate)
Kentucky	8%	4% above Federal Reserve discount rate; 19% for credit card debt	12%	Kentucky's legal rate is 8%. The general usury limit is 4% above the Federal Reserve discount rate, and credit card debt is capped at 19%. Judgments accrue at 12% per year. Source: Kentucky Revised Statutes § 360.010 (Legal rate); § 360.025 (Judgments)
North Carolina	8%	4% or 16% depending on the loan type	8%	North Carolina sets both its legal interest rate and its general usury limit at 8%. Exceptions include 4% for loans over $25,000 and 16% for loan compliance. P-Bills, Pay-Day Loans, Title Loans, Credit Services Only, Except for 30% APR exclusive on the loan. Source: North Carolina General Statutes § 24-1.1 (Legal rate); § 24-1.1 (General usury); § 24-1.1 (Judgments rate)
Virginia	8%	No limit for corporations; 12% for individuals	6% or contract rate	Virginia's legal rate and judgment rate are 6%, while the general usury limit is 12% for individuals. Corporations are not subject to usury limits. Source: Virginia Code § 6.2-301 (Legal rate); § 6.2-303 (Usury); § 8.01-427 (Judgment rate)
South Dakota	8%	No limit for most consumer loans	8%	South Dakota's legal rate is 8%, the general usury limit is 8%. Judgments accrue at the same rate. Source: South Dakota Codified Laws § 53-9-1 (Legal rate); § 53-9-3 (Usury); § 53-9-11 (Judgments)
Wyoming	8%	No limit for corporations	7%	Wyoming's legal rate and judgment rate are 7%, and there is no general usury limit for corporations. Source: Wyoming Statutes § 40-14-301 (Legal rate); § 40-14-301 (Judgments)
Alaska	10.5%	5% above Federal Reserve rate	Varies	Alaska's legal rate is 10.5%. Usury limit is 5% above the Federal Reserve rate. Judgments accrue at the same rate as specified. Source: Alaska Stat. § 45.45.010 (Legal rate); § 45.45.010 (Usury); § 09.30.070 (Judgments)
Florida	10%	5%	5%	Florida has a legal interest rate of 10%, and the general usury limit is 5%. Judgments accrue at the same rate. Source: Florida Statutes § 55.03 (Legal rate); § 687.03 (General usury); § 55.03 (Judgments rate)
Idaho	10%	12%	5% above prevailing discount rate	Idaho has a legal interest rate of 10%, and the general usury limit is 12%. Judgments accrue at 5% above the US Treasury discount rate. Source: Idaho Code § 28-22-104 (Legal rate); § 28-22-104 (Usury); § 28-22-104 (Judgments)
Nevada	12%	No limit	12%	Nevada's legal interest rate is 12%, and there is no general usury limit. Judgments accrue at the same rate. Source: Nevada Revised Statutes (NRS) 99.040 (Legal rate); § 99.040 (Judgments)
Rhode Island	12%	21% or 7 full points above 52 week T-bill	12%	Rhode Island has a legal interest rate of 12%, and the general usury limit is 21% or 7 points above the 52-week T-bill, whichever is higher. Source: Rhode Island General Laws § 6-26-1 (Legal rate); § 6-26-3 (Usury); § 9-21-10 (Judgments)
Vermont	12%	12% general, 18% on first $2,000 and 24% on amounts exceeding $2,000	12%	Vermont sets its legal rate and judgment rate at 12%, and there is a general usury limit of 12%, with exceptions for small loans and credit card. There are floating rates for commercial transactions and exceptions also based on current market rates. Source: Vermont Statutes, Title 9 § 41a (Legal rate); § 41a(a) (General usury); § 41a(b) (Exceptions); § 41a(d) (Judgments)
Washington	12%	12% or four times the average T-bill rate, whichever is greater	12% or contract rate, whichever is greater	Washington's legal rate is 12%. The usury limit is 12% or four times the average T-bill rate on the last 26 weeks, whichever is greater. Judgments accrue at the same rate as the contract rate, whichever is greater. Source: Revised Code of Washington § 19.52.020 (Legal rate and usury limit); § 4.56.110(4) (Judgments)
New Mexico	15%	No limit	Varies, set by state treasurer	New Mexico's legal rate is 15%. Judgments accrue at a rate fixed by the court as a rate fixed by the state treasurer. Source: New Mexico Statutes § 56-8-3 (Legal rate); § 56-8-3 (Judgments)
South Dakota	15%	No limit	15%	South Dakota has a high legal interest rate of 15%, and there is no general usury limit. Judgments accrue at the same rate. Source: South Dakota Codified Laws § 53-9-1 (Legal rate); § 53-9-3 (Usury); § 53-9-11 (Judgments)

Frequently Asked Questions about Usury Laws

What is the highest interest rate you can legally charge?

The highest legal interest rate varies significantly by state. While some states like New Mexico and South Dakota allow rates up to 15%, others like Louisiana limit most consumer loans to 12%. Exceptions include business loans, credit card accounts, and certain specialized lending programs.

National banks and credit card companies often follow their home state's usury laws rather than the borrower's state, which can allow them to charge significantly higher rates than local lenders. Payday lenders and other specialty lenders may be exempt from usury laws altogether or have specialized rates set by state agencies.

Do every state apply to all types of loans?

No, many states have exceptions for specific types of loans. Common exceptions include:

- **Business Loans:** Many states have higher limits or no limits for loans to businesses versus consumers.
- **Credit Cards:** Frequently exempted from state usury limits.
- **Home Loans:** Many higher permissible interest rates than unsecured personal loans.
- **Small Loans:** Some states have higher limits for very small loans versus larger ones.
- **Payday Loans:** Some states have specific regulations for short-term, high-interest loans.

How do Federal regulations affect state usury laws?

Federal regulations can override state usury laws in several important ways:

- **National Banking Act:** Allows nationally chartered banks to charge interest rates based on their home state, regardless of borrower location.
- **Depository Institution Deregulation and Monetary Control Act of 1980:** Preempts state usury caps for many types of federally insured loans.
- **Federal credit union law:** Sets specific limits for federal credit unions that can override state limits.
- **Military lending laws:** Caps rates for active duty military members and their dependents at 36% APR regardless of state laws.

These federal preemptions can create situations where lenders may legally charge rates that exceed state limits.

What's the difference between the legal interest rate and the general usury limit?

The **legal interest rate** is the maximum rate you can charge on most debts or obligations when no specific interest rate has been agreed upon in a contract, or for certain court judgments. It serves as a default rate in many situations.

The **general usury limit** is the absolute maximum rate a lender can charge on most loans, even if both parties agreed to it. This is the rate at which the transaction becomes illegal. It's the rate usury laws actually enforce against unscrupulous lending.

For example, in Nebraska, the legal interest rate is 6%, while the general usury limit is 10%. This means lenders can't charge more than 10% in interest, even if the borrower agrees to a higher rate.

Can I force a company to avoid usury limits?

No. Big companies generally can't avoid state usury laws. Banks can charge higher usury limits or exemptions for loans to businesses or corporations, courts look at the substance of transactions to prevent loan sharking, and P2P lending platforms must comply with state usury laws.

If a court determines that a corporation was formed solely to avoid usury laws for what is effectively a consumer loan, the courts may pierce the corporate veil and apply the usury limits anyway. This is rare but possible in cases of clear abuse.

Several states, including Louisiana, Minnesota, and Wisconsin, explicitly apply their usury laws to corporations. Some states have specifically tried to circumvent usury laws with mixed results. Texas usury legislation is the most well-known example.

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